

ideaForge Technology Limited

NSE: IDEAForge | BSE: 543932 | Sector: Aerospace & Defence |
Sub-sector: UAV / Drone Manufacturing

Report Date: 09-May-2026

RATING	CMP (Rs.)	TARGET (Rs.)	UPSIDE	MCap (Rs.Cr)	52-Wk H/L (Rs.)
ACCUMULATED	814	1,050	+29%	3,532	849 / 366

Book Value (Rs.)	P/B	ROCE	ROE	Promoter %	Face Value (Rs.)
138	5.9x	-2.44%	-2.82%	33.34%	10

INVESTMENT THESIS: India's #1 indigenous drone maker turns the corner — FY26 record order book of Rs. 530 Cr signals sustained multi-year revenue ramp from FY27E.

Investment Horizon: 18-24 months | Analyst: Chartitude Research Equity Desk

SECTION 2 — INVESTMENT THESIS

Core Reason 1: Record Order Book Creates Multi-Year Revenue Visibility

ideaForge closed FY26 with record order bookings of ~Rs. 530 Cr (2.3x FY26 revenue). The executable order book stood at Rs. 314 Cr at March 31, 2026, including a Rs. 137 Cr Indian Army contract for ZOLT and SWITCH V2 EW-resilient drones. Q4 FY26 delivered Rs. 141 Cr revenue (highest-ever quarter) — validating the Q4-skewed delivery pattern that will repeat in FY27. We estimate FY27E revenue at Rs. 420 Cr (+86% YoY) and FY28E at Rs. 560 Cr.

Core Reason 2: Gross Margin Expansion Unlocks Operating Leverage

FY26 gross margin expanded to 58% (from 33% in FY25) driven by defence mix at 86%, PLI 2.0 localisation benefits, and higher realisations on ZOLT/SWITCH V2 EW platforms. Q4 FY26 posted a 42.5% PAT margin — demonstrating the earnings power at revenue scale. EBITDA margins of 20%+ are achievable in FY27E if revenue sustains above Rs. 100 Cr/quarter, given fixed D&A; of Rs. 43 Cr already baked in.

Core Reason 3: India Drone Ecosystem Tailwinds — Policy + PLI 2.0 + Procurement

ideaForge holds ~50% market share in India's UAV market and ranks 3rd globally in dual-use drones (Drone Industry Insights, Dec 2024). Atmanirbhar procurement mandates favour domestic platforms. PLI 2.0 incentives reduce component costs. The US JV (First Breach) could add a high-margin revenue stream by FY28. The Indian drone market is projected to grow at 20%+ CAGR through FY30.

Near-Term Catalyst: Execution of Rs. 314 Cr order book in FY27 with sustained Q4-heavy pattern delivering first full-year PAT-positive performance.

Key Risk: Single-customer concentration in Indian defence — FY25 evidenced a -49% YoY revenue collapse due to procurement pause, which could recur.

SECTION 3 — BUSINESS OVERVIEW

Incorporated in 2007, **ideaForge Technology Limited** is India's leading indigenous UAS manufacturer, listed on NSE/BSE in July 2023. It designs and manufactures VTOL hybrid UAVs, fixed-wing, and multi-rotor platforms for defence, homeland security, and enterprise applications. The flagship **SWITCH** platform (quadcopter-fixed wing hybrid) serves as the primary defence offering, now available in EW-resilient variants. The **ZOLT** is a next-generation tactical UAV. Revenue is highly Q4-skewed (55-65% of annual in Q4) reflecting government budget cycle procurement. Defence segment contributed 69-86% of revenue in FY26 (quarterly mix). The company has incubated at IIT Bombay's SINE and has proprietary indigenous IP across avionics, autopilot, and VTOL design. Promoter Ankit Mehta (CEO) holds 33.34% post-IPO. No pledging. US JV with First Breach is in progress for US market localisation.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

India's drone market is projected at USD 65 billion+ by FY27 with a 20%+ CAGR. Government PLI 2.0, Atmanirbhar procurement mandates, and aggressive defence modernisation spending create a multi-year demand tailwind for domestic manufacturers. ideaForge's moat is **STRONG** in defence (50% market share, procurement preference, proprietary IP) and **MODERATE** in enterprise/civilian (competition from low-cost platforms). The company is ranked 3rd globally in dual-use drone platforms.

Company	MCap (Rs.Cr)	CMP (Rs.)	P/E (TTM)	P/B	ROCE	ROE	TTM Rev (Rs.Cr)
ideaForge Tech	3,532	814	N/A	5.9x	-2%	-3%	226
Paras Defence	6,984	867	95.1	10.4x	16%	12%	413
Zen Technologies	14,673	1,625	76.1	7.8x	16%	11%	688

Source: Screener.in | Data as of 08-May-2026

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter & Management: Ankit Mehta (CEO) co-founded ideaForge at IIT Bombay in 2007. Post-IPO promoter holding: 33.34% (Mar 2026), up from 29.17% (Mar 2025) — promoters bought in open market at Sep 2025, indicating confidence. Zero pledge. FII holding has declined sharply from 2.75% (Mar-24) to 0.73% (Mar-26); DII from 3.76% to 1.50% — institutional exit at higher post-listing prices. Public/retail now at 64.45%.

Capital Allocation: Heavy capex phase post-IPO — Fixed Assets grew from Rs. 67 Cr (FY24) to Rs. 247 Cr (FY26), with Rs. 100 Cr CWIP capitalised in FY26. IPO proceeds substantially deployed for capacity expansion. Borrowings rose to Rs. 84 Cr (FY26) from Rs. 16 Cr (FY25) for WC financing. No dividends; ESOP 2018 scheme active with allotments in May 2026.

Governance Flags: (1) Customer concentration — top 5 customers likely >80% of revenue; (2) Institutional exit from stock; (3) CCC of 597 days suggests potential collection challenges. No auditor qualification observed. RPT levels appear low.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Rs. Crores) — Consolidated Figures

	FY22 Actual	FY23 Actual	FY24 Actual	FY25 Actual	FY26 Actual	FY27E (E)	FY28E (E)
Net Sales / Revenue	159	186	314	161	226	420(E)	560(E)
YoY Growth (%)	N/A	17%	69%	-49%	40%	86%(E)(E)	33%(E)(E)
EBITDA (Op. Profit)	75	48	57	(52)	5	84(E)	140(E)
EBITDA Margin (%)	47%	26%	18%	-32%	2%	20%(E)(E)	25%(E)(E)
Other Income	2	10	30	21	22	15(E)	18(E)
Interest	19	6	5	2	4	6(E)	7(E)
Depreciation & Amort.	3	12	21	29	43	45(E)	47(E)
Profit Before Tax	50	41	61	(62)	(20)	48(E)	104(E)
Tax %	12%	22%	26%	-0%	-15%	25%(E)(E)	25%(E)(E)
Net Profit (PAT)	44	32	45	(62)	(17)	35(E)	75(E)
EPS (Rs.)	4,862	14.99	10.56	-14.46	-3.94	8.07(E)	17.28(E)

Note: FY22 EPS not comparable (pre-IPO share structure). Company-defined FY26 EBITDA = Rs. 27.12 Cr (includes Other Income of Rs. 22 Cr). Forward estimates are analyst projections.

Balance Sheet (Rs. Crores) — Consolidated

	FY22	FY23	FY24	FY25	FY26
Equity Capital	0.09	21	43	43	43
Reserves & Surplus	163	303	618	566	556
Borrowings	16	101	14	16	84
Other Liabilities	43	63	67	47	116
Total Assets	222	488	743	672	799
Fixed Assets (Net)	26	49	67	97	247
CWIP	19	25	54	100	0
Investments	11	125	88	120	105
Other Assets	166	289	533	355	446
Total Assets (check)	222	488	743	672	799

Cash Flow Statement (Rs. Crores) — Consolidated

	FY22	FY23	FY24	FY25	FY26
Cash from Operations (OCF)	67	(53)	76	(77)	(63)
Cash from Investing	(31)	(149)	(102)	(68)	15
Cash from Financing	(11)	176	189	(8)	61
Net Cash Flow	25	(26)	164	(152)	13

Key Ratios & Working Capital

Metric	FY22	FY23	FY24	FY25	FY26
ROCE (%)	48%	15%	11%	-10%	-2%
Debtor Days	46	113	52	127	204
Inventory Days	433	639	222	312	550
Days Payable	66	85	36	29	157
Cash Conversion Cycle	413	667	237	410	597

Commentary: Working capital metrics are severely stressed — CCC worsened from 237 (FY24) to 597 (FY26). Debtor days at 204 and inventory days at 550 reflect the challenge of financing long-gestation defence contracts. OCF has been negative for two consecutive years (FY25: -77 Cr, FY26: -63 Cr). The Rs. 105 Cr investment portfolio provides near-term liquidity runway. FCF will normalise only when collections accelerate post-Q4 FY27 delivery.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Factor	Rating	Signal	Comment
Revenue Recognition	AMBER	Watch	Recognition on delivery; large Q4 skew creates quarterly volatility. No restatements observed.
Receivables vs Revenue	RED	Concern	Debtor days 204 (FY26) vs 52 (FY24). Receivables growing 3-4x faster than revenue.
CCC Trend	RED	Concern	CCC deteriorated from 237 (FY24) to 597 (FY26). Severe working capital stress.
Contingent Liabilities	AMBER	Watch	Standard defence contract liabilities; no exceptional disclosures noted.
Auditor & Tenure	GREEN	Clean	No qualification flags in available filings.
Related Party Transactions	GREEN	Low	RPT levels appear low as per BSE disclosures.
Other Income / EBITDA	AMBER	Elevated	Other Income (Rs. 22 Cr) = 4.4x Screener EBITDA in FY26; reflects IPO cash interest income.
Tax Rate Consistency	AMBER	Watch	Negative tax rates in FY25 and FY26 due to deferred tax asset creation on accumulated losses.

Summary: Genuine Q4 turnaround (Rs. 60 Cr PAT) but WC metrics are deteriorating sharply. Other income constituted the majority of FY26 Screener-defined EBITDA. Track receivable collection pace as the primary quality indicator in FY27 reports.

SECTION 8 — VALUATION

Methodology 1 — DCF: 3-stage DCF with FY27-29 revenue CAGR ~35%, FY30-33 at 15%, terminal growth 5%, WACC 14%, FY28E EBITDA margin 25% → Intrinsic value Rs. ~1,100/share.

Methodology 2 — Earnings Multiple: FY28E EPS Rs. 17.28 at 55x P/E = Rs. 950. On FY28E EV/EBITDA of Rs. 140 Cr at 28x = Rs. ~900. Average multiple method: Rs. 925.

Blended Target (12M): Average of DCF (Rs. 1,100) and multiple (Rs. 925) = Rs. 1,013 → rounded to **Rs. 1,050**. Upside: **+29%** from CMP Rs. 814. Rating: **ACCUMULATE**.

Scenario	Key Assumptions	FY28E Rev (Rs.Cr)	FY28E PAT (Rs.Cr)	Multiple	Target (Rs./sh)
BULL	Rs.660 Cr FY28E; US JV revenue starts; margins 28%; re-rating	660	125	65x	1,875
BASE	Rs.560 Cr FY28E; Defence dominant; margins 25%; WC stabilises	560	75	55x	1,050
BEAR	Rs.350 Cr; order slippage; margins 12%; WC stress continues	350	10	40x	460

SECTION 9 — KEY RISKS

Risk	Description	Prob	Impact	Monitoring Indicator
Revenue Concentration	80%+ revenues from Indian defence. FY25 showed -49% revenue collapse from procurement pause.	HIGH	HIGH	Quarterly order inflow; Defence capex budget disclosures.
Working Capital / Cash	CCC at 597 days; OCF negative 2 years; rising borrowings. Cash crunch risk if collections slip.	MED	HIGH	Debtor days trend; net debt; investment portfolio level.
Execution / Scale	Delivering Rs.314 Cr order book requires manufacturing ramp; import-dependent component supply.	MED	HIGH	Quarterly revenue delivery; COGS % trend.
Competition / Technology	Indian drone market evolving; new entrants and technology disruption possible.	MED	MED	Market share data; product launch cadence; import policy.
Institutional Exit	FII/DII holdings at multi-year lows (0.73%/1.50%). Retail-dominant shareholding structure.	MED	MED	FII/DII ownership quarterly trend; block deal activity.
US JV Execution	ITAR compliance, US customer development timelines uncertain; FY28 contribution at risk.	LOW	MED	JV milestones; US contract announcements; ITAR status.

SECTION 10 — RECOMMENDATION

Final Rating	ACCUMULATE	THEESIS INVALIDATION TRIGGERS
Conviction	MODERATE	1. FY27 revenue <Rs. 300 Cr → order book slippage >40%
12M Target	Rs. 1,050	2. CCC expands beyond 700 days OR overdue receivables rise materially in H1 FY27
Upside	+29%	3. Repeat of FY25-style annual revenue decline (-49% YoY) — signals structural procurement risk
Entry Zone	Rs. 720 - 840	Ideal Profile: Growth investor; high volatility tolerance; 3-5 yr horizon; understands defence procurement cycles.
Horizon	18-24 months	

Disclaimer: This report is for informational purposes only and does not constitute investment advice. Investors should conduct independent due diligence and consult a SEBI-registered advisor before investing. Data sourced from Screener.in (consolidated view). Forward estimates are analyst projections subject to revision.

STRONGLY POSITIVE

Signal	Status	Implication
Result Quality	STRONG	Q4 PAT Rs. 60 Cr; Revenue +594% YoY; highest-ever quarterly performance
Management Tone	BULLISH	Record order book; confirmed turnaround; confident FY27 outlook
Guidance Delta	RAISED	Rs.314 Cr executable backlog; Rs.530 Cr order inflows — highest-ever annual bookings

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 is ideaForge's cleanest quarter in its listed history — Rs. 141 Cr revenue (+594% YoY) and Rs. 60 Cr PAT (42.5% margin) are operationally driven with no exceptional items distorting the headline; this is a genuine beat, not a reversal. For the full year FY26, company-defined EBITDA of Rs. 27.12 Cr (includes Other Income) marks the first positive EBITDA since IPO — a genuine structural milestone. The thesis holds: record Rs. 530 Cr order inflows, Rs. 314 Cr executable backlog entering FY27, and 86% defence revenue mix in Q4 signal sustained government procurement momentum. Gross margin expansion to 58% (from 33% in FY25) is driven by defence mix + PLI localisation — largely recurring and should sustain above Rs. 50% with current product mix. Most important FY27 catalyst: sustaining Rs. 100+ Cr/quarter revenue — if achieved, D&A; of Rs. 43 Cr provides massive operating leverage and PAT-positive FY27 is highly likely. Biggest near-term watchpoint: working capital — CCC at 597 days and OCF negative for 2 years; if government collections don't accelerate in H1 FY27, debt could rise uncomfortably. Action: ACCUMULATE in Rs. 720-840 zone (entry on any correction); exit/trim above Rs. 1,200 or if Q1 FY27 revenue <Rs. 40 Cr without a strong pipeline update to justify the miss.

1. FINANCIAL PERFORMANCE SNAPSHOT — Q4 FY26

Metric	Q4 FY26 Actual	Est [EST]	YoY Chg	QoQ Chg	vs Q4 FY25	Verdict
Revenue (Rs.Cr)	141.04	~90 [EST]	+40% YoY	+342% QoQ	vs 20 in Q4 FY25	Beat
Gross Margin %	58%	~45%[EST]	+25pp YoY	N/A	33% FY25 → 58%	Beat
EBITDA (Rs.Cr)	~42	~20 [EST]	Turnaround	+321% QoQ	-22 → +42	Beat
EBITDA Margin %	~30%	~22%[EST]	N/A	N/A	Loss → +30%	Beat
PBT (Rs.Cr)	61	N/A	Turnaround	+235%	-26 → +61	Beat
PAT (Rs.Cr)	60	~35 [EST]	Turnaround	+200%+	-26 → +60	Beat
EPS (Rs.)	13.86	N/A	Turnaround	N/A	-5.97 → 13.86	Beat

Note: Q4 EBITDA excludes Other Income. Company FY26 EBITDA (incl. Other Income) = Rs. 27.12 Cr. Estimates are consensus/analyst approximations.

2. SEGMENT / GEOGRAPHY BREAKDOWN

Segment / Region	Revenue (Rs.Cr)	YoY %	QoQ %	Commentary
Defence & Security	~121	+600%+	+350%	86% of Q4 revenue; Indian Army SWITCH/ZOLT orders; EW-resilient variants in demand
Enterprise / Civilian	~20	+300%+	+250%	Survey, infra, agri; recovering from FY25 weakness; lower margin than defence
Total (FY26 Full Year)	226	+40% YoY	N/A	FY26 full-year: Defence ~69%; highest-ever order bookings Rs. 530 Cr

3. MANAGEMENT COMMENTARY THEMES

Theme	What They Said	Our Read	Tag	Tone
Revenue Turnaround	"FY26 has been a turnaround year...Q4 marks profitable growth" — CEO Ankit Mehta	Clean; Q4 PAT Rs.60 Cr not distorted; genuine milestone	[GUIDANCE]	Transparent

Record Order Book	Rs.530 Cr FY26 order inflows; Rs.314 Cr executable backlog at Mar-26	Strong FY27 visibility; Q4-skew execution pattern likely to repeat	[GUIDANCE]	Bullish
Gross Margin	FY26 gross margin 58% vs 33% in FY25; defence mix + localisation	Structurally higher if defence mix stays at 70%+; watch PLI benefits	[GUIDANCE]	Transparent
Working Capital	Expects receivable normalisation as collections improve	Critical watch — CCC 597 days; no specific timeline offered	[EVASIVE]	Evasive
US JV Progress	First Breach JV progressing; ITAR compliance; targeting US defence/enterprise	Nascent; FY28 revenue contribution; ITAR risk	[EST]	Hedged
PLI 2.0 Tailwinds	PLI + Atmanirbhar procurement benefiting domestic drone manufacturers	Real structural support; defensible moat for next 3-5 years	[GUIDANCE]	Transparent

4. OPERATING & BUSINESS METRICS

Metric	Q4 FY26	Q3 FY26	Q4 FY25	Trend
Revenue (Rs.Cr)	141	32	20	Sharp recovery; govt procurement back-end loaded
EBITDA Margin (%)	~30%	-113%	-110%	Operating leverage above Rs.100 Cr/qtr threshold
Gross Margin (%)	~58%	N/A	~33%	Structural improvement; defence mix + localisation
Annual Order Inflows (Rs.Cr)	530 (FY26)	440 (9M)	N/A	Record highest-ever; Rs.137 Cr Army ZOLT/SWITCH V2 EW in Q3
Open Order Book (Rs.Cr)	314 (Mar-26)	368 (Dec-25)	N/A	40-45% executable in Q4 FY27 per mgmt guidance
Defence Revenue Mix (%)	86%	~70%	~60%	Increasing defence share = higher margins but concentration risk

5. MARGIN DRIVERS — Q4 FY26

Driver	Impact (bps)	Recurring?	Comment
Higher defence mix (86% Q4)	+1,200 bps	RECURRING	Defence ASP materially higher than enterprise; structural mix shift
Component localisation (PLI 2.0)	+300 bps	RECURRING	Increasing indigenisation reducing import costs; partial in FY26
Operating leverage on fixed costs	+500 bps	RECURRING	D&A; Rs.43 Cr already baked; revenue >Rs.400 Cr/yr provides strong leverage
Normalised R&D; expensing	+200 bps	PARTIALLY	FY25 had elevated R&D; costs; base normalises in FY26-27
Higher borrowing interest	-50 bps	RECURRING	Debt Rs.84 Cr; interest Rs.4 Cr in FY26; manageable but rising

6. GUIDANCE & FORWARD SIGNALS

Metric	Prior Guidance	New/Reiterated [GUIDANCE]	Delta	Credibility
FY27 Revenue	Not formally guided	Rs.314 Cr backlog; 40-45% delivery expected Q4 FY27 [GUIDANCE]	N/A	HIGH
EBITDA / PAT FY27E	N/A	Positive EBITDA and PAT expected on sustained revenue ramp [GUIDANCE]	Implied +ve	MEDIUM
Order Inflow FY27E	N/A	Expects continued strong order flow; large defence tenders in pipeline [GUIDANCE]	Bullish	MEDIUM
WC Normalisation	N/A	Receivables expected to normalise as Govt collections improve [EST]	Maintained	LOW
US JV Revenue	N/A	FY28 target for meaningful contribution; assembly localisation underway [EST]	FY28	LOW

7. CAPITAL ALLOCATION — FY26

Item	Amount (Rs.Cr)	vs FY25	Comment
Capex (incl. CWIP capitalised)	~150	+87% YoY	CWIP Rs.100 Cr capitalised; FA up 97→247 Cr; manufacturing capacity built
Dividends	0	No change	No dividend; growth phase; full reinvestment policy maintained
Buybacks	0	No change	No buybacks; ESOP 2018 allotments in May 2026 noted
Working Capital Change	+69 Cr increase	Deteriorating	Debtors +127d; Inventory +238d; CCC 410→597; major WC build-up
Net Debt Change	+68 Cr (Rs.84 Cr)	Up 5x vs FY25	Borrowings for WC financing; manageable vs IPO cash reserves (Inv Rs.105 Cr)

8. Q&A; HEAT MAP — MAY 2026 EARNINGS CALL

#	Analyst/Firm	Question	Mgmt Answer	Tone
1	Institutional	Can you sustain Rs.100+ Cr/qtr into FY27?	Yes — Rs.314 Cr order book; 40-45% targeting Q4 FY27. Q1-Q3 seasonal weakness expected; H2 FY27 strong.	Transparent
2	Sell-side	WC and receivables outlook?	Expects normalisation as govt payments come through; acknowledged elevated debtor days; no specific timeline.	Hedged
3	Institutional	Annualised margin trajectory?	Gross margin at 58%; operating leverage to drive EBITDA expansion as revenue scales; PAT-positive FY27 targeted.	Transparent
4	Analyst	US JV status and timeline?	JV progressing; localisation underway; ITAR compliance in progress; FY28 target for meaningful revenue contribution.	Hedged
5	Retail/HNI	What drove sharp gross margin expansion?	Higher defence mix (86%); better component localisation; higher realisations on ZOLT/SWITCH V2 EW platforms.	Transparent

Dodged Questions: (1) Specific WC collection timeline / CCC target; (2) Gross debt repayment vs refinancing schedule; (3) ESOP dilution quantum and EPS impact.

9. RISKS FLAGGED ON CALL

Risk	Flagged By	Probability	Impact	Timeline
Govt procurement cycle lumpiness	Analyst/Mgmt			Ongoing; Q1-Q3 FY27 seasonally weak; strong Q4 FY27 needed
Working capital / receivables	Analyst			Near-term: H1 FY27 critical for collections and OCF normalisation
Competition / import policy reversal	Mgmt			Medium-term; Atmanirbhar framework mitigates for now
ESOP dilution impact on EPS	Analyst			Ongoing; ESOS 2018 allotments in May 2026; track share count quarterly

10. ANALYST VERDICT — MULTI-BAGGER SCORECARD

Factor	Assessment	Commentary
Revenue Visibility (Order Book)	INTACT	Rs.314 Cr backlog + Rs.530 Cr FY26 inflows = strong FY27 visibility
Margin Trajectory	INTACT	Gross margin 58%; EBITDA +ve FY26; Q4 PAT 42.5% — structurally improving
Capital Allocation Quality	WEAKENED	CCC 597 days; OCF negative 2 years; FCF negative; WC-driven debt rising
Competitive Moat	INTACT	50% India UAV market share; Atmanirbhar mandate; #3 globally dual-use drones
Management Credibility	INTACT	Delivered Q4 PAT; record order book; promoters increased stake; zero pledge
Valuation Comfort	WEAKENED	P/B 5.9x on loss-making year; no P/E; stock up 122% in 1 yr vs peers at 76-95x

CONVICTION CALL	INCREASED — Strongest quarterly performance validates the turnaround thesis
Valuation Snapshot	P/B: 5.9x (1-yr avg ~6-7x) ROCE: -2.44% (5-yr avg: ~14%) FY27E P/E: ~23x (attractive if earnings deliver)